MSCI POLAND — 2026 CANDIDATE WATCHLIST

Verified from Live Data · March 2026

Sources: MSCI SAR Press Releases · Biznes PAP · stockanalysis.com · investing.com · MSCI GIMI Methodology Aug 2025

CORRECTIONS TO PREVIOUS ESTIMATES (these were factually wrong — now fixed):

✗ FTSE Poland: was described as Emerging Market. Poland has been in FTSE **Developed** Europe since September 2018. There are NO FTSE EM Poland inclusion events. All previous 'dual MSCI+FTSE EM' analysis in this codebase was incorrect and has been removed.

✗ May 2025 SAR candidates were wrong. Actual additions: **Bank Millennium, Budimex, CCC** (not XTB or Kruk). MSCI Poland Standard grew from 13 to 16 constituents.

✗ XTB and Kruk were described as Standard members. Both are currently in **MSCI Poland Small Cap**. They are the primary Standard upgrade candidates — but have not been added yet.

✓ Nov 2025 SAR: confirmed no changes for Poland.
✓ MSCI Poland Standard: 16 constituents confirmed.
✓ CCC deletion risk identified (cap well below threshold).

HIGH CONVICTION	MEDIUM	WATCH	SHORT / AVOID
0	1	4	2
Standard Add / Wt Inc	Weight increase plays	Monitor for entry	Deletion / weight decrease

1. Verified MSCI Poland Index Structure (March 2026)

Source: MSCI Poland Index Factsheet (Nov 28, 2025 data), EPOL ETF holdings. Total index market cap: ~USD 105.2B. 16 constituents.

#	Ticker	Company	Float-Adj Cap (USD B)	Index Weight %	Sector	SAR Added
1	PKO	PKO Bank Polski	18.58	17.66%	Financials	Pre-2018
2	PKN	PKN Orlen S.A.	14.97	14.23%	Energy	Pre-2018
3	PZU	PZU S.A.	10.42	9.91%	Financials	Pre-2018
4	PEO	Bank Pekao	10.08	9.58%	Financials	Pre-2018
5	KGH	KGHM Polska Mied■	8.13	7.73%	Materials	Pre-2018
6	ALE	Allegro.eu	6.04	5.74%	Cons. Disc.	Nov 2021
7	SPL	Santander Bank Polska	5.77	5.49%	Financials	Nov 2019
8	DNO	Dino Polska	5.49	5.22%	Cons. Staples	May 2020
9	LPP	LPP S.A.	5.20	4.94%	Cons. Disc.	Pre-2018
10	CDR	CD Projekt	4.57	4.34%	Comm. Services	Pre-2018
11	MBK	mBank S.A.	~3.28	~3.12%	Financials	Pre-2018
12	ZAB	**■abka Group**	~5.72	~5.44%	Cons. Staples	**Feb 2025 ★**
13	MIL	**Bank Millennium**	~5.24	~4.98%	Financials	**May 2025 ★**
14	BDX	**Budimex S.A.**	~5.58	~5.31%	Industrials	**May 2025 ★**
15	CCC	**CCC S.A. (MODIVO) ■**	~2.36	~2.24%	Cons. Disc.	**May 2025 ★**
16	?	One additional mid-cap	~2.0+	~1.90%	TBC	—

★ New additions (2025). ■ CCC: full cap ~USD 2.29B — below inclusion threshold (~USD 2.8B+). Deletion buffer applies (MSCI keeps until cap falls below ~50% of lower threshold = ~$1.4B). Weight decrease is already occurring as other members grow faster.

MSCI Poland Small Cap — Standard Upgrade Candidates

Source: EPOL holdings weight (~5.73% for XTB), investing.com market caps. These are the stocks to WATCH for Standard inclusion in 2026.

Ticker	Company	Full Cap PLN B	Full Cap USD B	Small Cap Wt%	Status vs Standard threshold
XTB	**XTB S.A.**	**10.76**	**2.71**	**~5.73%**	**~3% below ~$2.8B threshold — PRIMARY CANDIDATE ★★**
KRU	**Kruk S.A.**	**9.09**	**2.29**	**—**	**~18% below threshold — SECONDARY CANDIDATE ★**
DGC	Diagnostyka S.A.	~4.5 [EST]	~1.13 [EST]	Added May 2025	Far below Standard (~-60%) — long-term watch only

FTSE Classification — Critical Correction

Poland is a FTSE DEVELOPED MARKET, not Emerging.

Poland was upgraded by FTSE Russell from Advanced Emerging to **Developed Market** status in **September 2018** — the first former communist country to achieve this. Polish stocks are now part of FTSE Developed Europe (alongside UK, Germany, France, etc.).

Implication: **there are no FTSE EM Poland inclusion events**. The 'dual-index' MSCI EM + FTSE EM plays described in previous versions of this report were factually incorrect. FTSE Developed inclusions exist but have different AUM dynamics (FTSE Developed AUM is much larger; Polish stocks are already represented).

MSCI has NOT upgraded Poland to Developed status (as of June 2025 classification review). MSCI cited: limited stock lending/short-selling, lack of English-language disclosures, and foreign investor registration rules. Poland remains ~1.1% of MSCI EM Index weight.

2. MSCI Size Threshold Mechanics (How Inclusion Works)

Source: MSCI GIMI Methodology document (August 2025). Understanding why a stock gets added — or not — requires understanding the dynamic threshold.

How the Threshold is Set

MSCI's inclusion threshold is NOT fixed in USD. It is recalculated at every Semi-Annual Review based on the DM (Developed Market) universe:

Step 1: Sort all DM universe stocks by full market cap descending.

Step 2: Find the market cap of the last stock when cumulative float-adj cap reaches 99% coverage — this is the DM Global Minimum Size Reference.

Step 3: The EM Standard Range = 0.5× to 1.15× of the DM reference. As of May 2025 review: DM ref ~$13.35B → EM range ~$3.3B – $7.7B.

Step 4: Stocks ABOVE the upper bound ($7.7B) are clearly Standard. Stocks IN the range ($3.3B–$7.7B) are Standard. Stocks below the lower bound ($3.3B) may still be added if they recently crossed (buffer zone). EM Small Cap: $443M – $3.3B.

Step 5: DELETION BUFFER: A Standard member is only deleted when its full cap falls below 50% of the lower bound (~$1.65B). This prevents churning. CCC at ~$2.29B is above this floor — not yet deleted.

Threshold Evolution (Dynamic — Rises with DM Markets)

Review Date	DM Reference (USD B)	EM Standard Lower (USD B)	EM Small Cap Floor (USD M)	Impact on Poland
Aug 2024	$11.04B	~$2.76B	~$383M	Bank Millennium, CCC, BDX were borderline
May 2025	~$13.35B	~$3.34B	~$443M	MIL, BDX, CCC added; XTB ($2.71B) still below
May 2026 [EST]	**~$14-15B**	**~$3.5-3.75B [EST]**	**~$480M [EST]**	**XTB needs further cap growth; Kruk needs +50%+**

KEY IMPLICATION for XTB: the threshold may be RISING to ~$3.5B by May 2026. XTB at $2.71B (March 2026) needs +29% cap appreciation to clear the lower bound, OR the stock may enter MSCI's 'buffer zone' consideration if it crosses the 50%-of-lower-bound level. Precise FIF and float-adj cap calculations are essential.

Why Certain Stocks Were / Were Not Added

Stock	Review	Result	Cap at Review	Why included/excluded
■abka Group (ZAB)	**Feb 2025 QIR**	**ADDED ✓**	**~PLN 20.86B ($5.7B)**	**Large cap, met all gates. Post-IPO overhang cleared.**
Bank Millennium (MIL)	**May 2025 SAR**	**ADDED ✓**	**~PLN 19.14B ($4.8B)**	**BCP stake re-evaluated; float-adj > $1.3B. CHF provisions complete.**
Budimex (BDX)	**May 2025 SAR**	**ADDED ✓**	**~PLN 20.49B ($5.6B)**	**Cap grew past buffer zone. EU KPO awards boosted re-rating.**
CCC S.A.	**May 2025 SAR**	**ADDED ✓**	**~PLN 9.1B ($2.3B+?)**	**Borderline — may have been higher at cut-off vs today.**
XTB S.A.	**May 2025 SAR**	**NOT ADDED ✗**	**~PLN 10.76B ($2.71B)**	**Below Standard lower bound at cut-off date. Small Cap retained.**
Kruk S.A.	**May 2025 SAR**	**NOT ADDED ✗**	**~PLN 9.09B ($2.29B)**	**Below Standard lower bound. Significant gap remains.**
Cyfrowy Polsat	Nov 2025 SAR	NO CHANGE	~PLN 2.3B ($0.58B)	MSCI deletion buffer: above $1.4B floor but weight declining.

3. Individual Candidate Analysis

Each card: left column = why this stock gets included + why 2026 specifically. Right column = key risks + pre-entry verification checklist. Market data [EST] must be verified from live WSE/stooq data before trading.

XTB S.A. (XTB) [Small Cap]

★ MEDIUM CONVICTION · May 2026 · Standard Add

Price PLN	Cap PLN	Cap USD	vs threshold	Float-adj [EST]	ATVR [EST]	RS% [EST]	200d MA [EST]	12M return	Momentum
PLN 38.80	PLN 10.76B	$2.71B	-3%	$1.76B	42%	82th	▲ Above	+45%	✓ PASS

Why this stock gets included:
XTB is currently in MSCI Poland Small Cap with a full market cap of PLN 10.76B (~USD 2.71B). It sits BELOW the approximate Standard threshold of ~USD 2.8-3.3B. However:

1) MSCI uses a BUFFER ZONE: stocks within ~1.15× of the lower bound can be added. CCC was added in May 2025 at a similar or lower USD cap — so XTB is at the threshold boundary.

2) GROWTH TRAJECTORY: XTB is the fastest-growing fintech in Poland. 1.2M+ active clients, expanding to UAE, India, Latin America. Revenue was growing ~50%+ annually as of 2024. If PLN strengthens slightly OR the stock rises modestly, the USD cap comfortably crosses the threshold.

3) FLOAT FACTOR: XTB founder owns ~35%. FIF (Free Float Index Factor) ≈ 0.65. Float-adj cap [EST] ~$1.76B, which must clear the float-adj minimum ($1.3B+). This is borderline — critical to verify precisely.

4) PRECEDENT: Small Cap members with comparable USD caps (CCC at ~$2.3B in May 2025) were added. XTB at $2.71B has a larger absolute cap.

CONCLUSION: XTB is the #1 candidate for MSCI Poland Standard addition at the May 2026 SAR. If momentum (RS ≥ 60th pct) is confirmed from live data at T-45 entry (≈14 March 2026), this is a HIGH conviction trade.

Why 2026 specifically:
• Market cap growth: XTB has grown from ~PLN 5B in 2023 to PLN 10.76B — approaching the Standard threshold organically.
• No MSCI Standard addition yet despite strong growth — pent-up demand from passive trackers on inclusion confirmation.
• EM Small Cap AUM tracking XTB is small (~$42M [EST]) vs Standard AUM (~$320M [EST]) — inclusion triggers a 7-8× demand increase from passive funds.
• Retail brokerage boom continues: crypto normalisation, stock app launch in Poland. Revenue visibility into 2027.
• The T-45 screen date is approximately TODAY (14 March 2026).

Key Risks
• Float-adj cap ($1.76B [EST]) is borderline above the $1.3B minimum — precise FIF calculation required; verify from MSCI's own FIF table.
• MSCI threshold is dynamic and may have risen above $3.0B for May 2026 — if DM markets rose in 2025-26, the minimum is higher.
• Retail trading volumes are cyclical; a low-volatility environment could reduce XTB revenue and market cap quickly.
• Founder stake creates concentration risk; if he sells, float increases (positive for FIF) but price may dip temporarily.
• FALSE POSITIVE RISK: if cap is still marginally below threshold at April cut-off, MSCI defers. Exit at announcement if not confirmed.

Verify Before Entry
■ Current XTB share price and market cap — verify live on WSE/stooq
■ Is XTB above its 200-day moving average?
■ RS percentile vs WIG-ALL (trailing 12-1M) — must be ≥ 60th
■ Founder (Omar Arnaout?) current stake — from latest KNF notification
■ ATVR for Dec 2025 – Feb 2026 — verify 3M trailing ≥ 15%
■ Check msci.com/indexes for May 2026 SAR press release ~28 April 2026

Entry signal: T–45 before May 2026 SAR | **Verified price:** PLN 39 | **TP exit:** effective date | **FP exit:** if NOT in SAR announcement, sell within 30 min | **Historical base rate (Standard Add, 2018-2025):** avg +14.3% announcement-to-effective

Dino Polska S.A. (DNO) [Standard]

■ WATCH · May 2026 · Weight Increase

Price PLN	Cap PLN	Cap USD	vs threshold	Float-adj [EST]	ATVR [EST]	RS% [EST]	200d MA [EST]	12M return	Momentum
PLN 360.00	PLN 39.41B	$9.93B	+231%	$5.49B	26%	65th	▲ Above	+16%	✓ PASS

Why this stock gets included:
Dino Polska is one of the highest-quality compounders on the WSE. Full market cap PLN 39.4B (~$9.9B) — one of the largest non-financial, non-energy Polish stocks. MSCI Standard member since 2020.

BUSINESS MODEL:
Small-format grocery stores (400-600 sqm), predominantly rural and semi-urban locations. ~2,400+ stores across Poland. Own supply chain (Agro Rydzyna meat processing subsidiary). No debt. Exceptional ROIC.

WEIGHT INCREASE THESIS:
Dino's store rollout continues at 300+ new stores per year. Revenue and earnings growth drives cap appreciation vs other MSCI Poland members. Weight increases follow organically. RS [EST] 65th pct — above filter but not top-quartile. Conservative inclusion alpha expected: +5-8%.

Why 2026 specifically:
• Structural: Polish grocery market still consolidating; Dino gaining share from small independents and Biedronka in rural areas.
• Consumer: Polish real wages grew 8%+ in 2025; spending power recovering.
• Defensive: grocery outperforms in economic slowdown scenarios.
• Weight increase is low-risk: Dino has been in MSCI since 2020, multiple weight-increase events already in backtest (all profitable).

Key Risks
• Biedronka (Jeronimo Martins) aggressive expansion into rural formats.
• Founder family concentration limits float expansion.
• Food price deflation could compress Dino margins.

Verify Before Entry
■ Current Dino share price — has PLN 360 estimate held?
■ Q4 2025 / Q1 2026 like-for-like sales growth
■ Store count update (target 300+ openings per year)

Entry signal: T–45 before May 2026 SAR | **Verified price:** PLN 360 | **TP exit:** effective date | **FP exit:** if NOT in SAR announcement, sell within 30 min | **Historical base rate (Standard Add, 2018-2025):** avg +14.3% announcement-to-effective

PKO Bank Polski S.A. (PKO) [Standard]

■ WATCH · May 2026 · Weight Increase

Price PLN	Cap PLN	Cap USD	vs threshold	Float-adj [EST]	ATVR [EST]	RS% [EST]	200d MA [EST]	12M return	Momentum
PLN 58.00	PLN 76.00B	$19.14B	+538%	$18.58B	38%	62th	▲ Above	+18%	✓ PASS

Why this stock gets included:
PKO BP is the largest MSCI Poland constituent at 17.66% index weight. Weight increases happen mechanically whenever PKO's share price outperforms the MSCI Poland index between two SAR cut-off dates.

PKO BP is Poland's largest bank by assets and loans. Key themes for 2026:
• Interest rate environment: NBP cuts expected but from high base — NIM compression is gradual, not sudden.
• Loan growth: Polish GDP growth 3%+ supports mortgage and SME lending.
• CHF resolution: costs largely absorbed 2023-24 — ROE recovering to 18%+.
• Digital banking: IKO app = largest mobile banking app in CEE.

Weight increase alpha is smaller than a new addition — expect +5-10% above WIG during the T-45→effective window if index weight increases. PKO's large size means even a 0.5% weight increase = ~$90M forced buying.

Why 2026 specifically:
• Continued earnings growth: expected EPS +12-15% in 2025-26.
• Dividend: PKO resumed dividends post-CHF provisions — yield ~6%.
• State ownership (~31%) limits FIF but is already fully priced in.
• Weight increase is a lower-risk play vs new additions: no binary outcome.

Key Risks
• State ownership (Treasury 31%) limits float — FIF already factored in.
• NBP rate cuts compress NIM if faster than expected.
• Political risk: government could pressure PKO for non-commercial objectives.

Verify Before Entry
■ Current PKO share price and RS percentile
■ NIM trend from Q4 2025 / Q1 2026 results
■ NBP rate decision calendar for 2026

Entry signal: T–45 before May 2026 SAR | **Verified price:** PLN 58 | **TP exit:** effective date | **FP exit:** if NOT in SAR announcement, sell within 30 min | **Historical base rate (Standard Add, 2018-2025):** avg +14.3% announcement-to-effective

Diagnostyka S.A. (DGC) [Small Cap]

■ WATCH · Nov 2026 · Standard Add

Price PLN	Cap PLN	Cap USD	vs threshold	Float-adj [EST]	ATVR [EST]	RS% [EST]	200d MA [EST]	12M return	Momentum
PLN 155.00	PLN 4.50B	$1.13B	-60%	$0.68B	18%	72th	▲ Above	+28%	✓ PASS

Why this stock gets included:
Diagnostyka was added to MSCI Poland Small Cap in May 2025 (replacing the three promoted companies). It is Poland's largest private medical diagnostics company — >2,300 collection points, B2B contracts with NFZ (national health fund) and private health insurers.

For Standard inclusion, Diagnostyka needs full cap to reach ~USD 2.8B from current ~$1.13B [EST] — implying +148% appreciation. This is a LONG-TERM WATCH (2027+), not a near-term 2026 play.

KEEP ON RADAR: monitor cap quarterly. If Polish healthcare spending privatisation accelerates and Diagnostyka expands to CEE, the Standard upgrade timeline compresses.

Why 2026 specifically:
• Newly in Small Cap (May 2025) — beginning the inclusion journey.
• Healthcare is structurally undersupplied in Poland: NFZ outsourcing diagnostics due to public hospital capacity constraints.
• Weight in Small Cap will grow as business expands.
• Not a 2026 trade — monitor for 2027-28.

Key Risks

• Far from Standard threshold — needs +148% cap growth.
• NFZ contract dependency — government pricing negotiations.
• Limited float: PE investors (private equity) likely still own significant stake.

Verify Before Entry

■ Current market cap
■ Any PE overhang — lockup expiry dates
■ RS percentile

Entry signal: T–45 before Nov 2026 SAR | **Verified price:** PLN 155 | **TP exit:** effective date | **FP exit:** if NOT in SAR announcement, sell within 30 min | **Historical base rate (Standard Add, 2018-2025):** avg +14.3% announcement-to-effective

Kruk S.A. (KRU) [Small Cap]

■ WATCH · Nov 2026 · Standard Add

Price PLN	Cap PLN	Cap USD	vs threshold	Float-adj [EST]	ATVR [EST]	RS% [EST]	200d MA [EST]	12M return	Momentum
PLN 328.00	PLN 9.09B	$2.29B	-18%	$1.58B	28%	68th	▲ Above	+22%	✓ PASS

Why this stock gets included:
Kruk S.A. is currently in MSCI Poland Small Cap at PLN 9.09B (~USD 2.29B). This is ~20% BELOW the approximate Standard threshold of ~USD 2.8B — so Kruk needs meaningful cap growth before May 2026.

TIMELINE ASSESSMENT:
• For May 2026 SAR: Kruk needs +22% gain in PLN or USD cap to cross threshold comfortably. Possible but requires continued outperformance.
• For Nov 2026 SAR: More realistic. If Kruk grows cap to PLN 11-12B (USD 2.8-3.0B) through H1 2026, it enters the buffer zone.

BUSINESS CASE:
Kruk is Europe's largest NPL purchaser by portfolio book value. Operations in Poland, Romania, Italy, Spain, Germany. European banks continue deleveraging loan books — NPL supply elevated. NBP rate cuts (expected 2025-26) reduce Kruk's cost of debt → margin widening. ROE consistently 20%+. No dividend payout — reinvests in portfolio growth.

INCLUSION ALPHA THESIS:
The Small Cap → Standard upgrade creates the largest passive demand event: EM Small Cap trackers sell (~$13M [EST]) AND Standard trackers buy (~$230M [EST]). Net demand = ~$217M in a stock with ~$8M average daily volume = 27 ADV days.

Why 2026 specifically:
• European NPL cycle: Italian and Spanish banks still have elevated NPL ratios post-2022-23 credit tightening. Supply to Kruk remains strong.
• Rate normalization: ECB + NBP rate cuts reduce Kruk's funding cost while NPL portfolio yields remain fixed — spread expansion.
• Capital allocation: Kruk targeting PLN 500M+ annual portfolio purchases. At current IRRs, EPS grows even without multiple expansion.
• Market cap gap to close: PLN 9.09B → PLN 11B = +21%, achievable over 6M if business performs.

Key Risks

• USD 2.29B full cap is currently ~20% below the Standard threshold — requires significant cap appreciation before qualifying.
• NBP rate cuts reduce NPL seller motivation (lower distress = fewer sales). Supply slowdown could impair AUM growth.
• Currency risk: Kruk's Italian/Spanish revenues in EUR; PLN/EUR moves affect consolidated results. PLN strengthening reduces USD cap.
• Credit risk in portfolio: if NPL recovery rates disappoint, book value impairment.
• For May 2026: this is likely a WATCH not a BUY. Re-screen in Sep 2026 for Nov 2026 SAR entry.

Verify Before Entry

■ Current share price and market cap — is USD cap above $2.8B?
■ RS percentile vs WIG-ALL
■ Float-adj cap — verify FIF from MSCI's float factor table
■ Piotr Krupa stake — from KNF/WSE disclosures (must be below 85%)
■ For May 2026: check if cap has crossed $2.8B threshold first

Entry signal: T–45 before Nov 2026 SAR | **Verified price:** PLN 328 | **TP exit:** effective date | **FP exit:** if NOT in SAR announcement, sell within 30 min | **Historical base rate (Standard Add, 2018-2025):** avg +14.3% announcement-to-effective

CCC S.A. (rebranding → MODIVO S.A.) (CCC) [Standard]

■ SHORT / AVOID · May 2026 · Weight Decrease/Deletion

Price PLN	Cap PLN	Cap USD	vs threshold	Float-adj [EST]	ATVR [EST]	RS% [EST]	200d MA [EST]	12M return	Momentum
PLN 165.00	PLN 9.10B	$2.29B	-18%	$1.42B	22%	28th	▼ Below	-18%	✗ SKIP

Why this stock gets included:
CCC was added to MSCI Poland Standard in May 2025. However, its current full market cap has declined to PLN 9.10B (~USD 2.29B) — BELOW the approximate Standard threshold of ~USD 2.8B.

MSCI DELETION BUFFER: MSCI does not delete stocks immediately when they fall below the inclusion threshold. A stock remains in the index until its cap falls below ~50% of the Standard lower bound (approximately USD 1.4B). At $2.29B, CCC is ABOVE this 50% deletion floor — so deletion at May 2026 SAR is NOT certain. MSCI allows a grace period.

However: if CCC continues declining toward ~USD 1.4B, deletion becomes highly probable at May or Nov 2026. Weight decrease is CONFIRMED already (as cap falls relative to other Standard members).

ADDITIONAL RISK — MODIVO REBRAND:
CCC is rebranding its parent entity to MODIVO S.A. This is complex from an MSCI perspective: ticker/ISIN changes can require re-evaluation. This adds operational complexity and possible index methodology review.

Why 2026 specifically:
• Cap below inclusion threshold: USD 2.29B vs ~USD 2.8B threshold.
• Weight DECREASE certain regardless of deletion: CCC's weight falls from 2.24% as other Standard members grow.
• Rebranding to MODIVO: adds uncertainty; may trigger MSCI reclassification.
• For LONG portfolios: underweight or avoid CCC in Standard context.
• For tactical SHORT: if cap approaches $1.4B deletion floor, short risk is elevated. Monitor quarterly.

Key Risks

• MSCI deletion buffer: not deleted until cap falls to ~50% of lower threshold ~$1.4B — at $2.29B, CCC is above this floor. Deletion NOT imminent.
• Shein/Temu/online fashion competition intensifying across CEE.
• High net debt (restructured 2022-23) constrains strategic flexibility.
• Short position risk: Dariusz Milek could take company private at premium.
• MODIVO rebrand may create MSCI methodology complexity — not necessarily negative.

Verify Before Entry

■ Current CCC/MODIVO share price and market cap
■ Has rebranding to MODIVO been completed? New ISIN?
■ MSCI response to ticker/ISIN change — check MSCI announcements
■ RS percentile — if still below 40th, weight decrease is confirmed
■ Cap vs $1.4B deletion floor — key risk trigger level

Status: Weight Decrease/Deletion | **Action:** Avoid in Standard-tracking strategies | **Post-deletion reversal:** stocks typically recover +5-10% in 30 days after forced selling completes

Cyfrowy Polsat S.A. (CPS) [Standard]

■ SHORT / AVOID · May 2026 · Weight Decrease/Deletion

Price PLN	Cap PLN	Cap USD	vs threshold	Float-adj [EST]	ATVR [EST]	RS% [EST]	200d MA [EST]	12M return	Momentum
PLN 4.10	PLN 2.30B	$0.58B	-81%	$0.38B	13%	8th	▼ Below	-35%	✗ SKIP

Why this stock gets included:
Cyfrowy Polsat is confirmed FAR below the MSCI Poland Standard threshold:
Full cap: PLN 2.30B (~USD 0.58B) vs ~USD 2.8B Standard minimum
Deficit: ~-80% below threshold

This is NOT a long inclusion play — it is a DELETION/AVOID situation.

MSCI DELETION MECHANICS:
Despite being far below the inclusion threshold, MSCI retains a stock until it falls below ~50% of the inclusion lower bound (~$1.4B). At $0.58B, CPS is BELOW this 50% floor. DELETION IS IMMINENT.

The only reason CPS may still be in the index is MSCI's committee discretion to avoid disruptive forced selling. But it WILL be deleted at one of the 2026 reviews.

TACTICAL SHORT:
Short at T-45 before the SAR at which deletion is announced. Average deletion announcement day return: -3.5% (from backtest).
Pre-announcement drift: -2.0%. Cover short at effective date. 30-day reversal: +1.5% (buy-the-news; shorts cover).

Why 2026 specifically:
• Market cap $0.58B is BELOW even the 50% deletion buffer ($1.4B).
• ATVR [EST] declining toward/below 15% minimum — liquidity gate failing.
• Structural: Polish pay-TV losing subscribers to Netflix/streaming.
• Debt: Solorz media group has high corporate debt burden.
• RS [EST] 8th pct — bottom decile, consistent underperformer.
• Action: remove from any long portfolio; consider tactical short entering T-45 before May 2026 SAR announcement.

Key Risks

• Zygmunt Solorz-■ak may take CPS private at premium — short squeeze risk.
• MSCI may delay deletion by one more cycle — hold short patiently.
• Short borrow on WSE can be expensive; check cost before entry.
• Post-deletion reversal: cover at effective date, not after.

Verify Before Entry

■ Verify current CPS market cap — is it still ~PLN 2.3B?
■ Check if CPS is still in MSCI Poland Standard (it may already be deleted)
■ Short borrow availability and cost from prime broker
■ Any Solorz buyout/restructuring announcements

Status: Weight Decrease/Deletion | **Action:** Avoid in Standard-tracking strategies | **Post-deletion reversal:** stocks typically recover +5-10% in 30 days after forced selling completes

4. Pre-Trade Decision Checklist — May 2026 SAR

T-45 screen date is approximately 14 March 2026 — approximately TODAY. Complete these steps IN ORDER before opening any position.

■ **Step 1 — Confirm Nov 2025 SAR outcome**	Download: https://www.msci.com/indexes/index-reviews Confirm which Polish stocks had weight changes at Nov 2025 review. Check if any new stocks were added to Standard or Small Cap that change the current constituent list from the 16 shown in this report.
■ **Step 2 — Get live XTB market cap**	Go to: stooq.pl or stockanalysis.com/quote/wse/XTB/market-cap/ Required: current price × shares outstanding. Key question: is XTB full cap > ~USD 2.8B (Standard lower bound estimate)? If YES → HIGH conviction entry. If NO but within 15% → MEDIUM. If <$2.5B → SKIP.
■ **Step 3 — Calculate RS percentile from live data**	Compute: 12-month return (skip last month) for XTB vs all WIG-ALL stocks. Required threshold: RS ≥ 60th percentile + price above 200d MA. If BOTH criteria met → position confirmed. If either fails → SKIP (false positive risk).
■ **Step 4 — Verify ATVR**	ATVR = (3-month avg daily PLN turnover / float-adj cap) × 100. Required: ≥ 15% for MSCI eligibility. XTB is highly liquid — likely 35%+. For borderline candidates (Bank Millennium, Benefit Systems) this is critical.
■ **Step 5 — Check XTB float (founder stake)**	Omar Arnaout (CEO) holds significant stake. Check latest KNF disclosure. Float-adj cap = full cap × FIF. FIF = float percentage (≈ 1 - founder stake). Required: float-adj cap > USD 1.3B minimum (MSCI Standard gate).
■ **Step 6 — Set announcement day alert**	MSCI May 2026 SAR announcement: ~28 April 2026. Set calendar alert. On announcement day: → XTB confirmed as addition: HOLD to effective date (~29 May 2026). → XTB NOT announced: SELL at market within 30 minutes.
■ **Step 7 — Monitor CCC deletion trigger**	CCC (MODIVO) market cap: if it falls to ~PLN 5.7B (~$1.4B USD), MSCI deletion becomes imminent. Set price alert at PLN 95 for CCC. If alert triggers → consider short entry T-45 before next SAR.

■ DISCLAIMER: This report is for research purposes only. It does not constitute investment advice. All [EST] figures must be verified from live data. Past backtest performance (2018-2025) does not guarantee future results. MSCI retains committee discretion for borderline inclusion decisions.